



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case background was related to a newly established grocery store which operated both at retail outlets and online platform. The company was owned by a few shareholders with centralised management. Management set aggressive plan to boost sales for attracting investors for capital injection. Accordingly, revenue became the key financial indicator to demonstrate the performance of this company. This is a typical market phenomenon nowadays for innovative companies, and auditors are often required to audit the financial statements of this type of company for potential investors' due diligence. In this section, candidates were required to evaluate the respective fraud risk and how it is associated with different assertions of revenue, identify application controls in an automated IT system, and maintain professional skepticism and suggest effective audit procedures to address the identified risk.

Specific Comments

Question 1(a) – 6 marks

This question required candidates to identify the external and internal factors as provided in the case background which impacts the fraud risk. Candidates performed very well in this question and the majority of them could identify the factors appropriately from the case background.

Question 1(b) – 6 marks

This question required candidates to identify and explain which assertions of revenue are associated with the fraud risk identified in Question 1(a) above. Candidates performed very well in this question and the majority of them could identify the related assertions with appropriate explanations.

Question 2(a) – 5 marks

This question required candidates to identify the application controls as the sales process is fully automated. Online sales and self-checkout process have become extremely popular these years, and candidates could identify appropriate application controls.



Question 2(b) – 5 marks

This question required candidates to design audit procedures to test the application controls identified in Question 2(a) above. The mid-range performance was expected because test of IT controls is still one of the difficult areas, and candidates failed to design appropriate audit procedures based upon the application controls in the case. However, compared to previous years, this year's performance was higher

Question 2(c) – 4 marks

This question required candidates to advise the sampling method and consideration when the samples are individually insignificant but in aggregate material. As this has not been tested for long time, the majority of the candidates were unable to achieve a high mark.

Question 3(a) – 4 marks

This question required candidates to analyse the management response relating to the provision of sales return even though no such return had been claimed by the customers, and to propose audit procedures based on the analysis. Candidates did not perform well on this question as the majority of them focused only on audit procedures but did not analyse the reasonableness of the management response.

Question 3(b) – 4 marks

This question required candidates to analyse the management response relating to a management bonus when a company was loss making and propose audit procedures based on the analysis. Candidates did not perform well on this question as the majority of them focused only on audit procedures but did not analyse the reasonableness of the management response.

Question 3(c) – 4 marks

This question required candidates to analyse the management response relating to a significant write off for its fixed assets even though the company had just started up, and propose audit procedures based on the analysis. Candidates did not perform well on this question as the majority of them focused only on audit procedures but did not analyse the reasonableness of the management response.



Question 4 – 12 marks

This question required candidates to prepare a memo to evaluate two types of manual entries. One type of entries related to net revenue on consignment sales, and the other consisted of non-routine entries posted by the company. Any inappropriate posting of the entries would overstate the revenue, which would be linked to the fraud risk identified in Question 1. Although a lot of facts and hints were provided in the question, candidates may not have fully understood the rationale behind and therefore could not provide adequate points to respond to this question. This may be because questions about journal entries were rarely tested before. Nevertheless, candidates could in general demonstrate the presentation and analysis skills.

(II) Section B – Essay/Short Questions

General Comments

Section B covered a wide range of topics, testing candidates on audit opinions in various situations, ethical questions, risk assessment when auditing inventories, right-of-use assets, lease modifications, and aspects of corporate governance. This section presented practical scenarios commonly encountered in practice, aiming to assess how candidates apply auditing standards.

Specific Comments

Question 5(a) – 4 marks

This question required candidates to evaluate independence threats and propose safeguards when the audit team was asked to prepare financial statements due to the client's accountant being unavailable.

Most candidates identified the self-review threats and suggested safeguards, such as using a separate team or declining the engagement. However, some responses lacked detail on specific actions to mitigate these threats.

Question 5(b) – 4 marks

This question required candidates to assess independence threats when an audit team member accepted a job offer from the client after the audit.

Some candidates wrongly assumed the team member had already joined the client and focused on familiarity and intimidation threats. Some candidates' responses correctly identified self-interest threats, emphasizing the need to immediately remove the team member and review their work to safeguard independence.



Question 5(c) – 4 marks

This question required candidates to assess the independence threat posed by the audit team accepting a luxury dinner invitation from the Chief Financial Officer during the audit.

Candidates generally identified the potential self-interest and familiarity threats. Many suggested safeguards, such as declining the invitation to avoid compromising independence. However, some responses were overly generic and did not fully address the ethical implications of accepting such gestures.

Question 6(a) – 4 marks

This question required candidates to assess the auditor's opinion when the client failed to provide sufficient evidence to support the assumptions used for the property, plant and equipment impairment reversal.

Most candidates correctly identified that the auditor's inability to obtain sufficient audit evidence would lead to a qualified opinion or a disclaimer, depending on the materiality and pervasiveness of the issue. However, some responses lacked a clear explanation of the rationale behind the opinion or its impact on the financial statements.

Question 6(b) – 3 marks

This question required candidates to evaluate the auditor's opinion when bond securities were misstated by being recorded at cost instead of fair value, resulting in a material misstatement of HK\$15 million.

Candidates generally performed well, correctly analysing the case and identifying the need for a qualified opinion. However, some candidates failed to clearly link the materiality of the misstatement to the appropriate auditor's opinion.

Question 7(a)(i) – 4 marks

This part required candidates to evaluate the risk of material misstatement concerning the existence and valuation of inventories.

Most candidates identified the risks, including potential overstatement of inventory due to stock losses and valuation issues arising from selling slow-moving goods below cost. Some responses, however, lacked depth in linking these risks to the financial statement assertions.

Question 7(a)(ii) – 8 marks

This part required candidates to propose audit procedures to address the risks of material misstatements in inventories.



Candidates performed well, commonly recommending procedures such as physical inventory counts, reconciling stock records, and testing the net realizable value of slow-moving inventories. However, a few responses were too generic and failed to provide specific procedures tailored to the scenario, such as addressing stock loss issues.

Question 7(b)(i) – 3 marks

This question required candidates to evaluate the risk of material misstatement in the valuation of the right-of-use assets.

Most candidates correctly identified the risk of overstatement caused by declining store performance, potential impairments, or inappropriate assumptions used in valuation. However, some responses did not adequately link these risks to the financial statement implications.

Question 7(b)(ii) – 4 marks

This question required candidates to propose audit procedures for addressing risks of material misstatements in the valuation of right-of-use assets.

Most candidates performed well, identifying key procedures such as reviewing lease agreements, assessing impairment processes, and evaluating key assumptions. However, some answers were overly generic.

Question 7(c) – 4 marks

This question required candidates to propose audit procedures for lease modifications due to the Chief Finance Officer's plan to renegotiate lease contracts for most stores.

Many candidates suggested appropriate procedures, such as reviewing modified lease agreements, recalculating lease liabilities and right-of-use assets, and assessing compliance with accounting standards.

Question 8(a) – 3 marks

This question required candidates to explain the roles and responsibilities of the nomination and remuneration committees in the context of the company's proposed listing.

Most candidates successfully outlined the nomination committee's role in ensuring the appointment of directors based on merit and the remuneration committee's role in setting fair and competitive compensation policies. However, some responses lacked specificity regarding how these committees promote corporate governance in the listing process.



Question 8(b) – 5 marks

This question required candidates to discuss the challenges and considerations of hiring Davin as a director, given his lack of qualifications, and to provide recommendations to maintain good corporate governance.

Most candidates identified key issues, such as non-compliance with Listing Rules, lack of financial expertise among independent directors, and potential conflicts of interest. Some candidates responded to provided practical recommendations, such as appointing qualified independent directors and ensuring robust governance practices.

(III) Conclusion and Recommendation

This examination session tested candidates on applying auditing principles, IT controls and corporate governance practices to practical, real-world scenarios. While candidates generally demonstrated technical knowledge and referred to case-specific details effectively, many struggled with deeper analysis and providing well-rounded recommendations.

Key challenges included addressing complex issues such as evaluating misstatements, applying audit procedures to judgmental areas, and balancing family involvement with corporate governance standards. Some responses lacked depth, practical solutions, or consideration of broader compliance and governance implications.

Overall, candidates performed well in straightforward areas but need to improve in tackling more complex scenarios and providing comprehensive, practical recommendations. Better preparation and focus on applying technical knowledge in dynamic contexts will enhance future performance.